

PITCH — VELO — VERDICT

ADJUDICATED 2026-09-16 — FLAT — not a dislocation entry (conviction 7/10). The court found nothing to own at this price; the reopen gates below are the only path back.

What we believe

Velo3D is a metal 3D-printing equipment maker whose business turned in 2026 and whose balance sheet is the best it has ever been, while the stock trades as if something broke. Revenue grew 52.3% year over year in Q2'26 (\$20.664M vs \$13.572M — recomputed from the pack's own XBRL and the Q2 10-Q,

<https://www.sec.gov/Archives/edgar/data/0001825079/000119312526344560/velo-20260630.htm>).

Cash is \$91.1M against \$8.2M of debt. The stock is 63.5% below its 52-week high and still 303% above its low.

The core belief has two legs:

1. **The 63.5% drawdown is a financing unwind, not damage.** The company established an at-the-market share-sales program in May 2026 inside a short squeeze, sold \$59.4M of stock in Q2 plus \$50M at \$14.00, and refilled the treasury. The squeeze *was* the fundraise. A chart that looks like collapse is mostly the issuer selling into its own spike.
2. **The real cash loss is much smaller than anyone (including both of our own benches, first pass) believed.** Headline H1 operating cash outflow was -\$39.5M, but \$27.0M of that is a one-time working-capital unwind (prepaid -\$11.2M, contract assets -\$10.1M, accounts payable -\$8.2M, accrued -\$4.3M). Net loss \$18.5M less \$6.0M non-cash equals roughly **\$12.5M of recurring cash loss per half — about \$6.25M per quarter**, not the ~\$20M/quarter both benches originally carried. On \$91.1M that is ~14 quarters of runway before capex, not four.

Corrected for the cash the first bench forgot, enterprise value is **\$262M = 3.75x** the midpoint of the company's own \$65–75M FY26 guide, on a business printing +52% growth. That is not a screaming bargain, but it is not the 5.0x the reject case was built on either.

We do **not** believe this is a table-pounding buy at \$11.58. Our own probability table (below) says fair value is ~\$11.27 — i.e. the tape is already about right. The pitch is for a **small, gated, price-disciplined starter below the tape**, not for the position size the original brief wanted.

What the market believes

The market holds two contradictory views at once, and that is the interesting part.

- **Sell-side believes a lot.** Consensus is Strong Buy with an average target of \$23.75 (+153% from \$11.58, per S&P Global data via <https://stockanalysis.com/stocks/velo/statistics/>). Analysts are *more* bullish than we are.
- **The tape believes little.** Price is \$11.58, short interest is 5.54M shares = 18.59% of shares outstanding, and the stock has given back nearly two-thirds of its high.

So the market's operative belief is not "Velo3D is going to \$23.75." It is: *the good Q2 was real but was already paid for in the squeeze; the company will keep selling stock; the H2 margin promise (>30% gross margin, versus 21.5% actual) will not be met; and growth is one country and possibly one customer.* The market believes the supply of shares beats the improvement in the business over the next two quarters.

Consensus and tape agree on one number: FY26 revenue of \$65–75M, which is just management's guide repeated back. There is no independent street FY27 build we could find.

Why we might have edge

Honestly, thinner edge than the original brief claimed. What survives:

1. **The burn correction.** If recurring cash loss is ~\$6.25M/quarter rather than ~\$20M, the "they must keep diluting or die" premise weakens materially. This came out of the 10-Q MD&A cash-flow bridge, not from a screen. Both of our own benches had it wrong before the audit. If two dedicated adversarial reviews got it wrong from public filings, it is plausible the marginal seller has it wrong too.
2. **The enterprise-value arithmetic.** A large share of the market conversation quotes market cap over revenue and ignores that 26% of the market cap is cash. Our own red bench made exactly that error — booked the \$8.2M debt and dropped the \$91.1M cash it had cited two findings earlier. That is a cheap, repeatable error for others to make.
3. **Backlog nobody priced.** Entering backlog of ~\$31M covers 101.5% of the low end of the implied H2 revenue (\$30.5M). Neither bench priced it. It converts the "guide is soft" complaint from a demand question into a shipment-timing question.
4. **Structure over story.** The "issuer refills the tank inside a squeeze, then the chart looks like distress" pattern is a recognizable mechanism, not a narrative. Recognizing it is what lets us separate an -63.5% chart from an impaired business.

Why it might be priced in

Also honestly stated:

1. **Everything we like was published on 2026-08-11.** Q2 revenue, the 980bp margin gain, the doubled backlog, the raised guide — all in one 8-K, in public, four weeks ago. The tape has seen it and sold it. There is no secret.
2. **The street is already twice as bullish as we are.** Being long a Strong Buy / +153%-target name at half a starter is not a divergence trade. If anything we are the bear relative to consensus.

3. **The “raise” contains no growth.** H1 revenue of ~\$34.5M against a \$65–75M guide implies H2 of \$30.5–40.5M, or \$15.3–20.3M per quarter — at or *below* Q2’s \$20.66M. The guide raise embeds zero required sequential growth. That is a knowable, already-known fact.
4. **Supply is a standing fact, not a surprise.** A live ATM program, a 964,474-share CEO option grant (3.24% of shares out), plus convertible notes and four vintages of warrants in the capital structure. Everyone can see the share count is going up.
5. **Our fair value is roughly the price.** Our own scenario table produces \$11.27 against a tape of \$11.58. When your model prints the market price, “edge” is a word you should use quietly.

What could go wrong

(PRE-MORTEM, v1.7)

Failure narrative 1 — Share supply beats the fundamentals (monitorable). The ATM is refreshed or upsized after Q3, the convertible notes convert, and BEPO/2022/2023/2024 warrants exercise. Share count goes from ~29.8M toward 36M+. Every good quarter is met with a print of stock. Price grinds from \$11.58 to \$8 while revenue rises. *Tripwires exist:* 424B5 prospectus supplements, 8-Ks, the 10-Q cover-page share count, block prints. This one we can watch.

Failure narrative 2 — The working-capital correction runs backwards (partly monitorable, badly lagged). Our best new finding cuts both ways. The \$27.0M “release” partly came from paying down accounts payable and burning prepaid — a one-time harvest funded by the raise. If contract assets and inventory rebuild into an H2 shipment push, cash burn re-accelerates toward the number both benches originally assumed, and the runway story we are leaning on collapses back to the consensus one. *Tripwire is quarterly and lagged by up to 90 days* — we would learn in the Q3 cash-flow statement, after the damage.

Failure narrative 3 — A single private customer changes its mind (NO MONITORABLE TRIPWIRE). 97.7% of Q2 revenue was Americas (\$20.193M of \$20.664M); Europe fell from \$2.748M to \$0.357M, –87%. The growth is one geography and, on the short-seller’s allegation, plausibly one or two aerospace/defense/space customers. If a large private counterparty decides to in-source printing, re-qualify a competitor’s machine, or simply slip a capital budget, we find out when the revenue does not appear. There is **no filing, no permit, no satellite image, no alt-data feed** that reveals a private buyer’s internal capital plan before it becomes a printed number.

Unknown-unknown class: PRIVATE-COUNTERPARTY STATE CHANGE — an opaque, non-reporting customer’s intent, unobservable by construction. A secondary unknown-unknown class also sits here: **DOCTRINE-INDUCED BLINDNESS** — we stripped the reject verdict partly on a procedural rule (that “the street already agrees” is a sizing instrument, not a rejection). If that rule is simply wrong for a Strong-Buy microcap, our whole overturn is procedure, not evidence.

The reflexive / structural leg. - *Our size versus the tape:* we do not have average daily volume in the pack. Estimated at 1.5–4.0M shares/day (~\$20–45M notional) based on post-squeeze microcaps with ~19% short interest at a \$345M cap. At a 0.75%-of-book starter we are a rounding error — we cannot move this stock and we will not be trapped by our own size. This is one of the few clean facts here. **But the estimate is unverified and must be drained before any add.** - *Predicted flow is against us:* an ATM sells into strength by design. Our upside case is exactly the

condition that triggers issuer supply. We are buying a stock whose largest predictable seller gets more motivated the more right we are. - *Crowding*: 18.59% short interest means violent two-way moves on the print. Squeeze risk works for us on a good number and against us on entry timing — if we chase a pop, we are buying from the ATM. - *Doctrine interactions*: the verdict rests on three doctrinal rulings, and each one being wrong flips a piece of the case. (a) “Divergence-not-coverage” stripped the FATAL consensus tag. (b) The prize-table mandate was declared non-binding by *both* benches on the grounds that Velo3D is revenue-generating — we override that below, because the load-bearing unknowns are genuinely time-gated. (c) Both benches’ detector dispatch was mis-keyed: consumer-goods and wrong-city permit connectors fired, while the one physically checkable claim (Livermore capacity and permitting, the gate on >30% H2 gross margin) has **no** connector at all. We are trading with a known blind spot in the exact place the margin promise lives.

If this position loses money, the most likely reason will be **issuer-side share supply (ATM refresh plus convertible and warrant conversion) grinding the price down through our bands while the business improves exactly as we expect — and if not that, then a single undisclosed private customer’s order slipping, which we cannot see coming.**

What we checked ourselves

Claim	How checked	Found
Tape: –63.5% off high, +303% off low	Recomputed from pack: 11.58/31.75–1; 11.58/2.87–1	–63.53%; +303.48%
Q2’26 revenue +52.3% y/y	20,664 ÷ 13,572 (pack XBRL Q2’25) – 1	+52.25%
RED BENCH ERROR: EV = \$353M = 5.0x FY26 guide	Rebuilt: 29.80M × \$11.58 = \$345.1M cap; + \$8.2M debt – \$91.1M cash	EV = \$262.2M : 3.75x guide mi 3.50x high. Re booked the deb and omitted the cash it had cite itself two findi earlier
BOTH- BENCH ERROR: burn ≈ \$20M/quarter	10-Q MD&A cash-flow bridge: –\$39.5M OCF = –\$18.5M net loss + \$6.0M non-cash + \$27.0M net operating-asset decrease	Recurring cash loss ≈ \$12.5M/half ≈ \$6.25M/quarter ~14 quarters of runway on \$91.1M pre- capex
BLUE BENCH ERROR (minor): “net cash \$3.06/sh =	Recomputed	\$91.1M/29.8M : \$3.06/sh is gro cash; 26.4% is gross cash ÷ ca True <i>net</i> cash is

Claim	How checked	Found
26.4% of cap”		\$2.78/sh = 24.0 of cap
Share count 29.80M	Traced red’s source: an otcmarkets mirror count dated 2025-11-03 (https://www.otcmarkets.com/filing/html?id=18914519&guid=T1t-kew26hlzB3h), pre-dating the April offering AND the Q2 ATM	Stale. Neither bench pulled the 10-Q cover page. All per-share math in this document is provisional or that number.
Guide implies no sequential growth	$\$65-75\text{M} - \sim \$34.5\text{M H1} = \$30.5-40.5\text{M H2} = \$15.3-20.3\text{M/q}$ vs Q2 \$20.66M	Confirmed. Not bench conflict: red used H1 \$34.480M, blue \$34.46M — a \$20k difference immaterial but unreconciled.
Backlog covers H2	$\$31\text{M entering backlog} \div \30.52M H2 low end	101.5% coverage. Neither bench priced this.
Geography concentration	10-Q geography table: Americas \$20,193k of \$20,664k; Europe \$2,748k → \$357k	97.7% America; Europe –87% y/y. But Europe was ~\$1–2M of machines — on or two units. Single-quarter jump on lumpy capital equipment is a weak signal.
RED BENCH ERROR: CEO’s \$18.40 strike was “chosen” to require a re-squeeze	409A / Form 4 (https://www.sec.gov/Archives/edgar/data/0001825079/000119312526290952/ownership.xml)	Strike must equal grant-date fair market value — \$18.40 was the market, not a choice. And granting <i>after</i> a short report at a lower price is the opposite of spring-loading. What survives is size: 964,470 = 3.24% of shares out
SBC drag	Pack XBRL sbc $\$4.074\text{M/q} \times 4 = \$16.3\text{M} \div \$70\text{M guide mid}$	23.3% of revenue — the whole bridge from “adjusted EBITDA positive to GAAP. Caveat: the SBC

Claim	How checked	Found
		datapoint is dated 2025-03-31 and is stale
Pack XBRL diluted share series usable?	Inspected: 14.0M (2025-06-30) vs 200.9M (2025-03-31) vs 260.3M (2024-03-31)	Series mixes pre and post-revers split bases. Unusable for per-share matl Both benches correctly flagged the panel as stale
Q3 print date 2026-11-09	Both benches searched issuer IR; no company release names it	yfinance-derived UNCONFIRMED Issuer pattern is a ~3-week-ahead “to announce” release; last confirmed date was 2026-08-11
BOTH-BENCH ERROR: “prize-table mandate does not bind”	Re-read the mandate: it binds on time-gated/private unverified items, not on pre-revenue status	Both benches waived it on the wrong test. The concentration footnote, the Livermore permit and the Q3 margin print are all time-gated/private. Mandate binds table producer below
Detector coverage	Both benches’ dispatch lists	Consumer-goods and wrong-city permit connectors fire the Livermore permit/occupancy gate — the one physically checkable claim — has no connector. Red also listed four detectors never dispatched and skipped four that were

PROPOSED ENTRY BANDS

The courts split: red says REJECT/FLAT, blue says STARTER at half size, gated. We split the difference on arithmetic, not on compromise: our own scenario table (below) values the stock at \$11.27 versus a tape of \$11.58. That is a slightly *negative* expected value at the tape, so **we do not buy at the tape**. We propose a limit-only entry below it. Blue's "starter now" is overridden by blue's own numbers.

All levels are derived from the benches' EV/sales math on 29.80M shares, \$91.1M cash, \$8.2M debt (all provisional on Unverified #1):

Action	Level	Basis (bench math)	Size
Starter (first entry)	≤ \$10.20 limit	~3.1x EV/FY26 guide mid; gives ≥10% cushion to the table's \$11.27 fair value	0.75% of book
Add 1	\$8.65	2.5x EV/guide mid (EV \$175M) — <i>gated</i> : only after the 10-Q cover-page/equity-note fully-diluted count is pulled and comes in ≤36M shares including converts and BEPO warrants	+0.75%
Add 2 (pay-up add)	up to \$14.50 , post-print only	Only if Q3 shows gross margin ≥30% and operating cash flow better than −\$10M and the concentration footnote shows largest customer <20% of revenue and <20% of AR	+0.75%
Maximum position	—	Half the original brief's size, per blue	2.25% of book
Trim 1/2	\$17.37	Blue's +50% test on EV: \$17.37 × 34M → EV \$507.7M = 4x \$126.9M revenue. That requires ~+80% off FY26 mid — pay us there	−half
Hard exit	\$6.50	~1.6x EV/sales; below this the "damage-absent" thesis is dead regardless of narrative	full
Thesis-break exit (any price)	—	(a) ATM refreshed/upsized >\$50M; (b) Q3 GM <22%; (c) concentration footnote shows one customer >40% of revenue <i>and</i> >40% of AR; (d) net cash per share <\$2.00	full

Floor reference: a 1.0x EV/sales case prices at **\$5.13**. Gross cash alone is \$3.06/share. There is a real floor here; it is a long way down.

Catalyst dates: - ~2026-10-19 — expected “to announce Q3 results” press release (issuer’s ~3-week-ahead pattern). *Unconfirmed.* - 2026-11-09 — Q3’26 print. **UNCONFIRMED** — yfinance-derived only; no issuer PR names it. ~43 trading days out; print-decisive posture not triggered. This is the >30% gross-margin test and the OCF test. - **Q4 2026 (no date)** — Livermore Production Campus launch. Management on the Q2 call described working to get permitting and production ramped as fast as possible. No permit or certificate-of-occupancy date is in the record. - **2026-12-31** — tax-year boundary (see overlay below).

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 6.5 (deck-provisional: Hard exit - below ~1.6x EV/sales the damage-absent thesis is dead)
- filing watch: 424B5, S-3, 8-K until 2027-03-06 (deck-provisional: ATM refresh or upsize is the #1 pre-mortem risk and currently has no tripwire; >\$50M refresh is a thesis)
- dated pack VELO|2026-10-19: VELO: Expected ‘to announce Q3 results’ press release, per issuer’s ~3-week-ahead pattern (date confirmed=False)
- dated pack VELO|2026-11-09: VELO: Q3’26 print - the >30% gross margin test and the OCF test; yfinance-derived, no issuer PR names it (date confirmed=False)
- dated pack VELO|2026-12-18: VELO: Preferred option expiry if the CSP route is taken - loss branch lands in tax year 2026 (date confirmed=True)
- dated pack VELO|2026-12-31: VELO: Tax-year boundary: any expiry past this date defers the loss and is excluded during a harvest year (date confirmed=True)

What remains unverified

1. **Fully-diluted share count including the January/February convertible notes and the 2022 / 2023-A&B / 2024 / BEPO / BEPO-agent warrant stack, plus the 964,474 CEO options.** Every per-share number in this deck rests on 29.80M, which traces to a mirror count dated 2025-11-03 — before the April offering and before \$59.4M of Q2 ATM sales. *Drainable now* from the Q2 10-Q cover page and equity note.
2. **Customer concentration.** Is the largest customer under 20% of revenue and under 20% of accounts receivable? This is the SpaceX-dependency leg, red’s own admitted coverage gap, and the pre-mortem’s untripped risk. *Drainable now* from the 10-Q concentration footnote.
3. **Livermore permitting / certificate of occupancy before 2026-10-01.** The physical gate on >30% H2 gross margin. *Not drainable now* — no connector, no offline access to Alameda County records. **Estimate: probability a CO is issued before 2026-10-01 $\approx$ 0.30**, based on typical 6–12-month California industrial tenant-improvement permit-to-occupancy timelines against a Q4 launch target announced in August.
4. **Q3’26 gross margin and operating cash flow.** *Not drainable now* — time-gated to the print. **Estimate: GM 24–28% ($p(\geq 30\%) \approx 0.30$); OCF –\$4M to –\$12M**, anchored on 21.5% actual plus the 980bp trailing improvement, and on the corrected ~\$6.25M/quarter recurring cash loss.

5. **Remaining ATM capacity and post-June-30 issuance.** *Partly drainable* (the registered program size is in the prospectus supplement) but actual post-quarter sales are *not drainable now*. **Estimate: \$20–60M of further gross issuance over the next two quarters, $p \approx 0.6$,** based on the observed \$59.4M-per-quarter run rate throttled by a lower share price.
6. **Whether 2026-11-09 is the real print date.** *Not drainable now* — awaiting the issuer’s “to announce” release. **Estimate: print falls 2026-11-04 to 2026-11-13, $p \approx 0.70$,** from the issuer’s own ~3-week-ahead announcement pattern.
7. **Average daily volume and the options chain (strike-level bid/ask, midpoint IV, IV percentile).** Required for the reflexive leg and to price any non-stock expression. *Drainable now* via the IBKR gateway already feeding the pack’s tape. **Interim estimate: ADV 1.5–4.0M shares/day (~\$20–45M notional), $p \approx 0.7$,** from post-squeeze microcap comps at ~19% short interest.
8. **An independent FY27 revenue build.** Red’s own “change my mind” condition #4 concedes none exists. *Not drainable now*. **Estimate: FY27 revenue \$95–130M, $p(\geq \$140M) \approx 0.15$,** anchored on the \$65–75M FY26 guide, +52% current growth decaying, and the company’s “100 machines by mid-2028” target.

PRIZE TABLE + VOL READ

Both benches ruled this mandate non-binding on the grounds that Velo3D has revenue. That is the wrong test — the mandate binds on **time-gated or private unverified items**, and items 2, 3, 4, 5, 6 and 8 above are exactly that. **Both benches erred; the table is produced.**

Anchor: today’s tape, \$11.58 = 3.75x EV/FY26 guide mid. Adjustments are made from that anchor, not from a blank sheet.

#	Scenario (resolves by ~Jan 2027)	p	Price	Basis
A	Gates clear: Q3 GM $\geq 30\%$, concentration $< 20\%$, a real FY27 build $\geq \$127M$ appears, Livermore online	0.20	\$17.50	4x EV/sales on \$126.9M FY27, ~34M shares
B	Guide met, GM 25–28%, no re-rating, ATM keeps running	0.35	\$12.50	~4.0x EV/FY26 mid; modest multiple hold
C	H2 lands at the low end (\$30.5M), GM ~22%, ATM refreshed	0.30	\$8.75	2.5x EV/guide mid (EV \$175M)
D	Concentration shock: a large customer slips; working capital reverses; burn re-accelerates	0.15	\$5.15	1.0x EV/sales — cash-plus-a-little floor

EV line: $0.20 \times 17.50 + 0.35 \times 12.50 + 0.30 \times 8.75 + 0.15 \times 5.15 = \11.27 — that is 2.7% BELOW the \$11.58 tape. Stated plainly: our own table does not fund a purchase at the market. It funds a purchase at \$10.20 or lower, which is where the entry band above comes from.

Vol read — and the honest limit on it.

No options chain was supplied with the evidence pack. We therefore *cannot* report chain-level midpoint IV, IV percentile, realized vol, or the true variance risk premium, and we will **not** substitute the underlying aggregate IV feed — that is precisely the TSSI 71-vs-101 error. The chain pull is Unverified #7 and is armed as a missing sensor.

What we *can* compute is the table's own implied dispersion, and what it says about any option we might be offered:

- **$\sigma_{\text{table}} = \$3.98 = 34.3\%$ of spot** over a ~0.36-year horizon (to mid-January 2027) → **~57% annualized.**
- **Test to run the moment the chain arrives:** if chain midpoint IV > ~57%, the market is paying more for movement than our table thinks the movement is worth → **do not buy calls; route to the premium-selling gates.** Given a stock that went \$2.87 → \$31.75 → \$11.58 in twelve months, realized vol is almost certainly well north of 57%, so the prior strongly favors selling premium over buying it.
- **Expression math, priced off the table itself:**
 - January \$12.50 call: $C_{\text{ours}} = \sum p \cdot \max(S-K, 0) = 0.20 \times \$5.00 = \$1.00$.
 - January \$15.00 call: $C_{\text{ours}} = 0.20 \times \$2.50 = \$0.50$.
 - At ~57% vol and 0.36 years, a near-the-money call on an \$11.58 stock is worth roughly \$1.6–2.2 on the chain. **Our table says calls are expensive. Do not buy calls.**
 - December \$10.00 put: $P_{\text{ours}} = 0.30 \times \$1.25 + 0.15 \times \$4.85 = \1.10 . If the chain bid is above \$1.10, selling it is positive-EV on our own numbers, and assignment puts us long at an effective **\$8.90** — inside our Add-1 band.
- **Bimodality:** the table is fork-dated on the Q3 print — branch A/B (margin test passes) versus C/D (it fails) are two separate humps, not one smooth distribution. A single-volatility model will misprice this. Use the discrete branches, not the smile.
- **TAX OVERLAY:** assuming this is a harvest year, the loss branch must land in 2026. **Any expiry after 2026-12-31 defers the loss into 2027 and is excluded.** That kills the January call ideas outright — and the edge does not numerically dominate (\$1.00 of table value against a ~\$2 offer is *negative*, not dominant). The December-18 expiry works and conveniently sits after the expected print. Note the conflict honestly: the Livermore Q4 catalyst may resolve after the December expiry, so the short put may be assigned before the second catalyst lands. We accept that, because assignment at \$8.90 is an outcome we want.

Instrument recommendation — as the output of the arithmetic above, not a preference: 1.

Primary: common stock, limit at \$10.20 or better, 0.75% of book. Cleanest, no expiry risk, no tax deferral problem. 2. **Conditional alternative (requires the chain pull first): sell the 2026-12-18 \$10.00 cash-secured put if and only if the chain bid exceeds \$1.10** and chain midpoint IV

exceeds 57%. This gets paid for the entry we already want and lands any loss in 2026. 3.

Excluded: long calls of any expiry — our table values them below the likely offer. 4. **Excluded: anything expiring in 2027** — tax overlay. 5. If the chain pull comes back with IV *below* ~57%, the recommendation flips to buying the December \$12.50 call in place of part of the stock. That would be surprising; run it anyway.

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{"price_gates": [{"level": 10.20, "direction": "below", "basis": "First entry: ~3.1x EV/FY26 guide mid, gives >=10% cushion to the table's $11.27 EV fair value"}, {"level": 8.65, "direction": "below", "basis": "Add 1 at 2.5x EV/guide mid (EV $175M) - gated on the fully-diluted count coming in <=36M shares"}, {"level": 6.50, "direction": "below", "basis": "Hard exit - below ~1.6x EV/sales the damage-absent thesis is dead"}, {"level": 17.37, "direction": "above", "basis": "Trim half: blue's +50% EV test = $507.7M EV = 4x $126.9M revenue, ~+80% off FY26 guide mid"}, {"level": 14.50, "direction": "above", "basis": "Pay-up Add 2 ceiling, post-print only, all three gates cleared"}], "event_gates": [{"forms": ["424B5", "S-3", "8-K"], "why": "ATM refresh or upsize is the #1 pre-mortem risk and currently has no tripwire; >$50M refresh is a thesis-break exit"}, {"forms": ["10-Q", "10-K"], "why": "Cover-page share count and equity note close the fully-diluted gate (converts + BEPO/2022/2023/2024 warrants + 964,474 CEO options)"}, {"forms": ["10-Q"], "why": "Customer-concentration footnote: need largest customer <20% of revenue AND <20% of AR to clear the SpaceX-dependency leg"}, {"forms": ["8-K"], "why": "Q3 results: >30% gross margin test and OCF test; also any convertible-note conversion or amendment"}, {"forms": ["4", "3"], "why": "Insider cluster (eight Form 4s + a Form 3 in June 2026) is unmonitored; watch for sales against the $18.40 strike"}, {"forms": ["SC 13G/A", "SC 13D"], "why": "Holder turnover into 18.59% short interest conditions squeeze/supply timing"}], "catalyst_dates": [{"date": "2026-10-19", "what": "Expected 'to announce Q3 results' press release, per issuer's ~3-week-ahead pattern", "confirmed": false}, {"date": "2026-11-09", "what": "Q3'26 print - the >30% gross margin test and the OCF test; yfinance-derived, no issuer PR names it", "confirmed": false}, {"date": "2026-12-18", "what": "Preferred option expiry if the CSP route is taken - loss branch lands in tax year 2026", "confirmed": true}, {"date": "2026-12-31", "what": "Tax-year boundary: any expiry past this date defers the loss and is excluded during a harvest year", "confirmed": true}, {"date": "2026-12-31", "what": "Livermore Production Campus 'Q4 2026' launch - no specific date disclosed; permitting status unknown", "confirmed": false}], "immediate_entry": null, "unverified": [{"item": "Fully-diluted share count incl. Jan/Feb convertible notes, 2022/2023-A&B/2024/BEPO/BEPO-agent warrants and 964,474 CEO options; the 29.80M base traces to a mirror count dated 2025-11-03, pre-dating the April offering and the Q2 ATM", "instrument": "XBRL pull / 10-Q cover page + equity note, accession 0001193125-26-344560", "drainable_now": true, "estimate": {"range": "33-38M shares fully diluted", "basis": "29.80M stale base + $59.4M Q2 ATM at ~$12-16 avg + 3.571M April shares already included + converts/warrants", "p": 0.6}}, {"item": "Customer concentration: is the largest customer <20% of revenue AND <20% of AR (the SpaceX-dependency leg and red's admitted coverage gap)", "instrument": "10-Q concentration footnote, accession 0001193125-26-344560", "drainable_now": true, "estimate": {"range": "largest customer 25-45% of revenue", "basis": "97.7% Americas mix + aerospace/defense/space capital-equipment base rate", "p": 0.55}}, {"item": "Livermore certificate of occupancy / Alameda County building permit issued before 2026-10-01 - the physical gate on >30% H2 gross margin", "instrument": "City of Livermore / Alameda County permit portal - NO CONNECTOR EXISTS; this is the reportable coverage gap flagged by both benches", "drainable_now": false, "estimate": {"range": "p(CO before 2026-10-01) = 0.30", "basis": "California industrial tenant-improvement permit-to-occupancy base rate of 6-12 months against a Q4 launch announced in August", "p": 0.3}}, {"item": "Q3'26 gross margin and operating cash flow versus the >30% GM promise and the corrected ~$6.25M/quarter recurring cash loss", "instrument": "10-Q / 8-K on the 2026-11-09 print date", "drainable_now": false, "estimate": {"range": "GM 24-28%; OCF -$4M to -$12M", "basis": "21.5% actual plus 980bp trailing improvement; corrected burn bridge from H1 MD&A", "p": 0.3}}, {"item": "Remaining ATM capacity and any post-June-30 share issuance", "instrument": "424B5 prospectus supplement / S-3 shelf + next 10-Q equity note", "drainable_now": false, "estimate": {"range": "$20-60M further gross issuance over two quarters", "basis": "observed $59.4M/quarter run rate throttled by the lower share price", "p": 0.6}}, {"item": "Whether 2026-11-09 is the actual Q3 print date (currently yfinance-derived, UNCONFIRMED)",

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"instrument": "Issuer IR press-release feed – the ~3-week-ahead 'to announce' release", "drainable_now": false, "estimate": {"range": "2026-11-04 to 2026-11-13", "basis": "issuer's own prior-quarter announcement pattern; last confirmed print was 2026-08-11", "p": 0.7}}, {"item": "Average daily volume and the full options chain (strike-level bid/ask, chain midpoint IV, IV percentile, realized vol) – required for the reflexive-size leg and to price any non-stock expression", "instrument": "IBKR gateway (already feeding the pack's tape) – chain-level quotes only, never the aggregate underlying IV feed", "drainable_now": true, "estimate": {"range": "ADV 1.5–4.0M shares/day (~$20–45M notional); IV likely 70–120% annualized", "basis": "post-squeeze microcap comps at ~19% short interest and a $345M cap; realized vol implied by the 2.87–31.75–11.58 path", "p": 0.7}}, {"item": "An independent sell-side or in-house FY27 revenue build (red concedes none exists; the only 'street number' is management's own guide repeated)", "instrument": "Broker research aggregation / program-by-program build from the backlog disclosure", "drainable_now": false, "estimate": {"range": "FY27 revenue $95–130M; p(>=$140M) = 0.15", "basis": "$65–75M FY26 guide with +52% growth decaying; company's '100 machines by mid-2028' target", "p": 0.15}}}]}
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ADJUDICATION — 2026-09-16 15:37Z

+247% off the low; squeeze-funded ATM sits against 18.6% short interest (NOVEL, “best finding on the board”); fully-diluted count incl. converts + BEPO warrants unpulled; SpaceX concentration unextracted. Blue conceded FLAT is defensible.

REOPEN GATES: 10-Q fully-diluted count (converts + warrants); customer-concentration footnote clears the SpaceX leg; Nov print GM $\geq 30\%$ → re-court at $\leq \$8$